

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

ROMANIA 2012

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

For annual gross earnings the data source is Labour Cost Survey, which is carried out on yearly basis. For 2012 the average monthly gross earnings is 2094 Lei and the average annual gross earnings is 25128¹ Lei (final data – corresponding to enterprises B to N).

2. Unemployment insurance

The rights on “Unemployment insurance” are guaranteed and stipulated by Unemployment insurance system and stimulation of employment (Law no.76/2002 with subsequent amendments). The legal institution related to the subject is the National Agency for Employment.

2.1 Conditions for receipt

I. The recipients of unemployment benefits must cumulative fulfil the following conditions (Article 16 correlated with art.5 point IV letter c) Law no.76/2002):

- searching for a paid job, has at least 16 years old and does not fulfil the conditions for retirement;
- health and physical and mental capabilities render him/her suitable for performing a work;
- have no job, no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force; the value of this social indicator for 2012 is lei 500 (Article 33¹ Law no.76/2002);
- ready to start work in the near future, if could find a job;

Also the above mentioned recipients must cumulative fulfil the following conditions (Article 34 paragraph (1) reported to Article 17 paragraph (1) and Article 16 letter a) correlated with Article 5 point IV letter c) Law no.76/2002)

- have a minimum period of contribution of 12 months in the last 24 months previous to date of registration;
- have no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force;
- do not have the standard retirement age, according to the Law provisions;
- are registered in at one of the territorial National Agencies for Employment in whose jurisdiction they reside or, if appropriate, residence, if they had a job or income realized in that locality.

II. Recipient of unemployment benefits is the person who did not find a job after graduating a certain level of education and fulfil the following conditions (Article 17 paragraph (2) correlated with Article 16 letter b) Law no.76/2002):

- graduated a certain level of education are at least 16 years old did not find a job in 60 days after graduating according to their professional training;

¹ final data (from the Labour Cost Survey).

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- graduated a special school for disabled people are aged 16 or over, who were unable to find a job according to their professional training;
- are registered in one of the territorial National Agencies for Employment.

Also the above mentioned recipients must cumulative fulfil the following conditions (Article 34 paragraph (2) reported to Article 17 paragraph (2) and Article 16 letter b) Law no.76/2002)

- are registered in at one of the territorial National Agencies for Employment in whose jurisdiction they reside;
- have no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force.
- they are not entitled to receive pension benefits according to the in force legislation (do not have the retirement age, according to the law and/or the minimum contribution period).

2.1.1 Employment conditions

The recipients presented at 2.1 I (Article 16 correlated with Article 5 point IV letter c) Law no.76/2002) must fulfil the following cumulative conditions (Article 17 Law no.76/2002):

- if their labour contract ceased due to reasons not attributable to them;
- if their labour agreement ceased due to reasons not attributable to them;
- if the mandate for which they were appointed or elected expired, and they were not previously employed or if their return to work is not possible because the employer definitive cease his activities;
- if the military labour contract has expired or they were lay off due to reasons not attributable to them;
- if the labour contract as a cooperative member has ceased due to reasons not attributable to them;
- if they signed an unemployment insurance contract and have no income or make from authorised activities according to the law, an income lower than the value of reference social indicator of unemployment insurance and stimulation of employment in force;
- if they stopped working due to disability pension and subsequently regained their ability to work and failed to find a job;
- if their labour/agreement contract ceased due to reasons not attributable to them when their labour/agreement contract was suspended;
- if their job based exclusively on civil convention has ceased.

2.1.2 Contribution conditions

The recipients are paid in accordance with different periods of contributions (Article 39 paragraph (1) Law no.76/2002):

- 6 months for the persons that contributed at least 1 year;
- 9 months for the persons that contributed at least 5 years;
- 12 months for the persons that contributed at least 10 years.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The amount of unemployment benefits is paid on monthly basis differently as following (Article 39 paragraph (2) Law no.76/2002):

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I. For the persons determined at Article 16 correlated with Article 5 point IV letter c) Law no.76/2002:

a) 75% from the value of reference social indicator; the value of this social indicator is 500 lei for 2012, for the persons that contributed at least 1 year;

b) in addition to the above sum, a certain amount is given based on the calculation of the average gross basic salary earned during the last 12 months of contributions, multiplied with the percent determined by different periods of contribution:

- 3% for the persons that contributed at least 3 years;
- 5% for the persons that contributed at least 5 years;
- 7% for the persons that contributed at least 10 years;
- 10% for the persons that contributed at least 20 years.

The reference social indicator represents the unit expressed in lei which relates the benefits paid from the unemployment insurance budget, provided both to ensure the protection of persons from the unemployment insurance system and to stimulate certain categories of persons to be employed, such as and employers to employed jobseekers.

The average basic salary is used only for the calculation of the unemployment benefit and is collected from the national survey on wages and salaries by occupations for month October. The average basic salary is different then the average gross earnings, not containing the bonuses, whether or not regularly paid, 13th or 14th month, holiday bonuses, profit-sharing, allowances for leave not taken, occasional commissions, etc. For 2011, the annual average basic salary is 21 000 Lei (1 750 Lei monthly).

II. For the persons who did not find a job after graduating certain levels of education (Article 17 paragraph (2) correlated with Article 16 letter b) Law no.76/2002), the unemployment benefits is a monthly fixed sum granted for a period of 6 months and represents 50% from the value of reference social indicator.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Registered unemployed presented at 2.1. I (Article 17 paragraph (1) Law no.76/2002) who get a job in normal working time before expiring the period for which they were entitled to receive unemployment benefit still receive 30% monthly amount of the unemployment benefit received; the expenditures are paid from unemployment insurance budget until the end of the period for which the person was entitled to receive the unemployment benefit (Article 72 paragraph (1) Law no.76/2002).

Registered unemployed presented at 2.1. I (Article 17 paragraph (1) Law no.76/2002) who get a job in a company situated at a distance longer than 50 km from home are entitled to receive an installation allowance paid from unemployment insurance budget equal with 2 times the value of reference social indicator, paid as lump sum (Article 74 Law no.76/2002).

Registered unemployed presented at 2.1. I (Article 17 paragraph (1) Law no.76/2002) who accept a job for which they have to move to a different town are entitled to receive a relocation (mobility) allowance paid from unemployment insurance budget equal with 7 times the value of reference social indicator paid as lump sum.

Registered unemployed presented at 2.1. II (Article 17 paragraph (2) Law no.76/2002), who are at least 16 years old and are registered in one of the territorial National Agencies for Employment and find a job in

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normal working time, for a period longer than at least 12 months receive a bonus paid from unemployment insurance budget equal with the value of reference social indicator, in force (Article 73¹ paragraph (1) Law no.76/2002).

Registered unemployed presented at 2.1. II (Article 17 paragraph (2) Law no.76/2002) who find a job before expiring the period for which they were entitled to unemployment benefit receive a sum paid from unemployment insurance budget equal with the one receive normally until the unemployment benefit expired (Article 73¹ paragraph (2) Law no.76/2002) if they work for at least 12 months.

2.3 Tax treatment of benefit and interaction with other benefits

The benefits are not taxable. Re-routed social contributions²

2.4 Benefit duration and waiting periods

- I. The recipients who's working contracts ceased due to reasons not attributable to them, are entitled to unemployment benefits for a period between 6 and 12 months, in accordance with different periods of contributions (see 2.1.2).
- II. The recipients who did not find a job after graduating a certain levels of education, are entitled to unemployment benefits for a period of 6 months.

2.5 Treatment of particular groups

2.5.1 Young persons

Young people aged between 16 to 25 years old who are confronting special difficulties and are at risk of professional exclusion are entitled to get a job through a solidarity contract.

Condition for receipt:

- registration with National Agency for Employment (ANOFM);
- signed convention between the beneficiary and ANOFM for a period of maximum 2 years (in order to find a job).

2.5.2 Older workers

None

2.5.3 Others if applicable

None

² No social security contributions are paid by the unemployed persons. The corresponding amounts for social security and health insurance are paid from the governmental **consolidated Unemployment Budget** through out the National and Territorial Agencies for Employment in behalf of the unemployed persons (transfers between social protection schemes).

3. Unemployment assistance

Not applicable

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Families and lone persons with low incomes are entitled to a guaranteed minimum income (Law no. 416/2001 regarding the guaranteed minimum income with subsequent amendments).

The guaranteed minimum income is given on monthly basis and represents a social support benefit to guarantee a certain standard of living if no other means of income can be obtained.

4.1 Conditions for receipt

Means tested benefit for families having incomes under a certain level (see 4.2.1)

Family constitutes:

- the couple (husband and wife) or husband/wife and their single children living together and managing the house in common (Article 2 paragraph (1) Law no. 416/2001);
- the single person living with children in care (i.e. single, widow, divorced, his/her spouse is declared missing by a court of law - Article 2 paragraph (2) Law no. 416/2001)

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- siblings without children living together and managing the house in common (not residing with their parents - Article 2 paragraph (3) Law no. 416/2001)
- unmarried man and women with their own children or with each own children living together and managing the house in common (Article 2 paragraph (4) Law no. 416/2001)
- the concept “**children**” is translated as derived from the couple marriage, from one spouse, adopted, given in care to a family or to a lone person as a children tutor or curator (Article 2 paragraph (5) Law no. 416/2001).
- the concept “**lone person**” is translated as at least 18 years old who lives and manages the house alone (Article 2 paragraph (6) Law no. 416/2001).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The monthly level of the guaranteed minimum income is different depending on the number of individuals (Article 4 Law no. 416/2001).

The values (starting with the July 1st 2012):

Family composition type	Guaranteed minimum income (Lei)
Single (0.25*500 lei)	125
2 persons (0.45*500 lei)	225
3 persons (0.63*500 lei)	313
4 persons (0.78*500 lei)	390
5 persons (0.93*500 lei)	462
More than 5 persons (0.062*500 lei)	462 + 31 for each person above 5

The amount of social assistance is established as a difference between the above mentioned sums and the monthly net income of a family/lone person.

- Social Aid is increased by 15% in case at least one family member is employed (Article 6 paragraph (1) Law no. 416/2001).
- There is a minimum Social Aid - 10 lei per month for 2011 (10 lei granted if after applying the method of calculation, the result is lower than 10 lei) (Article 5 paragraph (2) Law no. 416/2001).

4.2.1.1 Irregular additional payments

None

4.2.1.2 Obligations of family members

In exchange for the social assistance payments, one of the family members/lone person must perform a certain number of working hours in the benefit of the municipality.

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

In the estimation of the monthly net income of the family/lone person all members incomes are taking into account (after all tax deductions are applied), including all types of family allowances and social benefits.

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Starting with December 2011, the Law 292/2011 of social assistance entered into force. Social assistance benefit recipients are granted an extension of their benefit entitlement to a maximum of 3 months, starting with the first month of employment. The level of social assistance benefits cumulated by a single person or, where appropriate, by a family may not exceed a coefficient reported to the value of reference social indicator (500 RON).

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration and waiting periods*

Indefinite, as long as the conditions for receipt are met.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

4.5.3 *Others if applicable*

None

5. Housing benefits for rented accommodation

Not applicable

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

5.2.3 Costs eligible for housing benefits

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1 Young persons

5.4.2 Older workers

5.4.3 Others if applicable

6. Family benefits

- I. Monthly state allowance for children (Law no. 61/1993 regarding state allowance for children with subsequent amendments);
- II. Income maintenance in the event of a child birth;
- III. Indemnity for parental leave (G.O no.111/2010 regarding the parental leave with subsequent amendments);
- IV. Allowance for family support (Law no. 277/2010 regarding the allowance for family support with subsequent amendments ; E.O. no. 2/2011);

6.1 Conditions for receipt

I. Monthly state allowance for children

Family allowance is received by all registered children up to 18 years of age. Young persons over 18 are beneficiary if they are attending upper secondary and post-secondary education.

II. Maternity Benefits

The insured women (in-work) and the women who lost the job less than 9 months before have the right to maternity benefits for a period of 126 days including pregnancy leave and postnatal leave. The payments are made from the health insurance budget (Article 23 and 25 G.O no. 158/2005).

III. Indemnity for parental leave

One of the child parents is entitled to receive indemnity and parental leave

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- up to one year or 3 years in case of a disabled child (Article 2 paragraph (1) letter a) G.O no.111/2010)
- up to 2 years (Article 2 paragraph (1) letter b) G.O no.111/2010)

After one year of age of the child, except the case of a disabled child, persons who choose to take parental leave, have the right to take unpaid leave and raise the child up to 2 year old (Article 6 paragraph (1) G.O no.111/2010).

Before the child turns one year of age, the persons entitled to receive parental leave and allowance make an income subject to tax, have the right to receive a monthly incentive insertion amount of 500 lei (1*500 lei) for the remaining period before the child is 2 years of age (Article 7 paragraph (1) G.O no.111/2010).

The incentive insertion amount of 500 lei (1*500 lei) is receive also, by the persons raising a disabled child up to 3 years of age, anytime, for the entire period (Article 7 paragraph (2) G.O no.111/2010).

The persons who are on parental leave for rising a child up to 2 years are not entitle to receive the incentive insertion amount (Article 7 paragraph (3) G.O no.111/2010).

In cases when the persons receive the monthly indemnity and ask for the incentive insertion amount, then the monthly indemnity for parental leave is suspended (Article 7 paragraph (4) G.O no.111/2010).

IV. Allowance for family support

Allowance for family support is a means tested benefit, paid for single parent family and for those families for whom the individual income per person is in some limits and who have children in care aged less than 18.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The values (starting with the July 1st 2012):

Frequency	Family benefit type	Value (Lei)
Monthly	Monthly state allowance for children (Article 3 paragraph a)-c) Law no. 61/1993)	200 lei for the child up to 2 years old (3 years old in case of disabled children) (0.4*500 lei)
		42 lei for 2 – 18 years old (0.084*500 lei)
		84 lei for 3 – 18 years old (in case of disabled children) (0.168*500)
Monthly	Income maintenance in the event of a child birth (Article 23 and 25 G.O no 158/2005)	85% of the average monthly income of the last 6 months from the last 12 months of the subscription stage, up to 12 minimum gross wages
Monthly	Indemnity for parental leave (G.O no.111/2010)	
	a) up to one year old or 3 years old in case of a disabled child (Article 2 paragraph 1 ¹ letter a)	75% of average net income of the last 12 months prior to the child birth, but no less than 600 lei and no more than 3400 lei (>=1.2*500; <=6.8*500 lei)

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	G.O no.111/2010)	
	b) up to 2 years old (Article 2 paragraph 1 ¹ letter b) G.O no.111/2010)	75% of average net income of the last 12 months prior to the child birth, but no less than 600 lei and no more than 1200 lei ($\geq 1.2 \times 500$; $\leq 2.4 \times 500$ lei)
The parental leave indemnity amount is raised with 600 Lei for each twin child for the cases described above (1.2×500 lei) (Article 5 G.O no.111/2010)		
Monthly	Allowance for family support (Law no. 277/2010)	For families who's minimum net income per person is below or equal with 200 lei (0.40×500 lei): 30 for families with 1 child (0.06×500 lei) 60 for families with 2 children (0.12×500 lei) 90 for families with 3 children (0.18×500 lei) 120 for families with 4 and more children (0.24×500 lei) For families who's minimum net income per person is between 201 and 370 lei (0.40×500 lei $\geq 0.740 \times 500$ lei): 25 for families with 1 child (0.05×500 lei) 50 for families with 2 children (0.1×500 lei) 75 for families with 3 children (0.15×500 lei) 100 for families with 4 and more children (0.2×500 lei)
		For single parent family who's minimum net income per person is below or equal with 200 lei (0.4×500 lei): 50 for families with 1 child (0.1×500 lei) 100 for families with 2 children (0.2×500 lei) 150 for families with 3 children (0.3×500 lei) 100 for families with 4 and more children (0.5×500 lei) For families who's minimum net income per person is between 201 and 370 lei (0.40×500 lei $\geq 0.740 \times 500$ lei): 45 for families with 1 child (0.09×500 lei) 90 for families with 2 children (0.18×500 lei) 135 for families with 3 children (0.27×500 lei) 180 for families with 4 and more children (0.36×500 lei)

6.2.1.1 *Irregular additional payments*

None

6.2.2 *Income and earnings disregards*

None

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

None

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6.4.1 *Young persons*

None

6.4.2 *Older workers*

None

6.4.3 *Others if applicable*

None

7. Childcare for pre-school children

Compulsory schooling starts at 6 years old. The parents may decide for the age of 7 years old. Pre-school children may benefit of child day care services provided by state centres or non-profit organisations.

7.1 Out-of-pocket childcare fees paid by parents

Part-time childcare

7.2 Child-care benefits for formal centre-based care

See point 6

7.2.1 *Conditions for receipt*

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

7.3 Child care allowance for children not using child care centres

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8. Employment-conditional benefits

- 8.1 Conditions for receipt
- 8.2 Calculation of benefit amount
 - 8.2.1 Calculation of gross benefit
- 8.3 Tax treatment of benefit and interaction with other benefits
- 8.4 Benefit duration
- 8.5 Treatment of particular group
 - 8.5.1 Young persons
 - 8.5.2 Older workers
 - 8.5.3 Others if applicable

9. Lone-parent benefits

See point 6

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

- 9.2.1 *Calculation of gross benefit*
 - 9.2.1.1 *Irregular additional payments*
- 9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

- 9.5.1 *Young persons*
- 9.5.2 *Older workers*
- 9.5.3 *Others if applicable*

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10. Tax system

10.1 Income tax

There are central and local government institutions that collect the income taxes.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances (Law no. 571/2003 Fiscal Code)

The employees benefit of a basic monthly allowance given gradually based on the level of the monthly salary and number of persons in care.

- lei -					
Monthly gross salary (MGS)	Monthly standard allowance based on the level of the monthly salary and number of persons in care				
	No person in care	1 person in care	2 persons in care	3 persons in care	4 or more persons in care
Less than or equal 1.000	250	350	450	550	650
1.001 - 3.000	$250 \times [1 - (\text{MGS} - 1.000) / 2.000]$	$350 \times [1 - (\text{MGS} - 1.000) / 2.000]$	$450 \times [1 - (\text{MGS} - 1.000) / 2.000]$	$550 \times [1 - (\text{MGS} - 1.000) / 2.000]$	$650 \times [1 - (\text{MGS} - 1.000) / 2.000]$
More than 3.000	0	0	0	0	0

Person in care is defined as the wife/husband, children or other family members who's incomes are less than 250 Lei.

The sums representing the monthly standard allowance for the monthly salary are calculated by rounding at ten, in the sense that fractions under ten are made ten. (i.e. 235 Lei is transformed in 240 Lei).

10.1.1.2 Standard tax credits

Not applicable

10.1.2 Income tax schedule (central government income tax)

The income tax is 16% irrespective of the monthly gross income. The income tax is applied after the standard allowance and the below social contributions are deducted from the monthly gross income.

10.1.3 *State and local income taxes*

Not applicable

10.2 *Treatment of family income*

The tax unit is individual.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

According to the national legislation (Law no. 571/2003 Fiscal Code with subsequent amendments), the **employees** are paying the following social contributions:

- for unemployment schemes – 0.5% from the monthly gross income (Article 296^{^18}, paragraph (3) letter d^{^1}) Law no. 571/2003);
- for social-security schemes – 10.5% from the monthly gross income (including 3 % corresponding to the private pension funds (Article 296^{^18}, paragraph (3) letter a^{^1}) Law no. 571/2003);
- for health care schemes – 5.5% from the monthly gross income (Article 296^{^18}, paragraph (3) letter b^{^1}) Law no. 571/2003).

10.3.2 *Contributions payable by employers*

According to the national legislation, the employers are paying the following social contributions:

- for unemployment schemes – 0.5% from the monthly gross income (Article 296^{^18}, paragraph (3) letter d^{^1}) Law no. 571/2003);
- for social-security schemes – 20.8% from the monthly gross income (including 2.5 % corresponding to the private pension funds (Article 296^{^18}, paragraph (3) letter a^{^1}) Law no. 571/2003);
- for health care schemes – 5.2% from the monthly gross income Article 296^{^18}, paragraph (3) letter b^{^2}) Law no. 571/2003).
- for the national unique fund for health social security – 0.85% from the monthly gross income (Article 296^{^18}, paragraph (3) letter c) Law no. 571/2003)
- for risk and accident fund - 0.4% from the monthly gross income (Chapter III Article 5 paragraph (2) G.D no.144/2008 with subsequent amendments)
- for salary debt fund – 0.25% from the monthly gross income (Article 296^{^18}, paragraph (3) letter f) Law no. 571/2003)

10.3.3 *Payroll taxes*

Not applicable

10.4 *Treatment of particular group*

10.4.1 *Young persons*

None

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10.4.2 *Older workers*

None

10.4.3 *Others if applicable*

None

11. Part-time work

The same rules are applied, except the standard allowance which is 0.

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

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12. Policy developments

12.1 Policy changes introduced: 2nd July 2011 – 1st July 2012

Starting with month June 2012, in the public sector (public administration, education, health and social assistance, arts, entertainment and recreation activities) the legal stipulation in force (Emergency Ordinance provisions No. 19/2012³) were applied, meaning the **increase of the gross basic salary** by 8% as compared with the previous month.

Starting with December 2011, the Law 292/2011 of social assistance entered into force. According to this law the beneficiaries of social assistance benefits for: preventing and combating poverty and social exclusion, supporting the child and family, persons with special needs or for particular situations start/restart their professional activity or start a business on their own, can benefit by:

- a) the increases of the social security benefits paid, if they meet the eligibility criteria;
- b) the extension of the period for granting social security benefits to a maximum of 3 months, starting with the first month of employment;
- c) the incentives to supplement some social services.

The level of social assistance benefits cumulated by a single person or, where appropriate, by a family may not exceed a coefficient reported to the value of reference social indicator (500 RON).

12.2 Future policy changes announced since 1st July 2011

Starting with month December 2012, in the public sector (public administration, education, health and social assistance, arts, entertainment and recreation activities) the legal stipulation in force (Emergency Ordinance provisions No. 19/2012) were applied, meaning the **increase of the gross basic salary** by 7.4% as compared with the previous month.

³ Emergency Ordinance No. 19/2012 for the approval of some measures in order to recover the budgetary cuts

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.